

AR Checklist

Customer Setup:

- Verify creditworthiness of the customer (perform credit checks).
- Ensure customer master data is updated in the system (name, address, contact info).
- Set up customer payment terms (due date, discounts, penalties).
- Set up preferred invoicing method (email, mail, EDI).

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Invoice Creation:

- Generate accurate invoices based on contract/PO details.
- Verify the correct product/service, pricing, and quantities are included.
- Ensure sales taxes, shipping charges, and other fees are correctly applied.
- Include due date and payment terms on the invoice.
- Send invoices on time and via the correct method (email, mail, portal).
- Maintain a copy of sent invoices in the AR system.

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Record of Sales Transactions:

- Record all sales invoices in the accounting system.
- Ensure revenue is recognized in the correct period (accrual-based).
- Verify that all sales transactions are recorded under the appropriate GL accounts.

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Payment Tracking and Matching:

- Monitor bank statements and payment gateways for customer payments.
- Match received payments to corresponding invoices.
- Apply payments accurately to customer accounts in the AR ledger.
- Investigate any discrepancies in payments (partial payments, overpayments).

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Cash Application:

- Ensure prompt application of cash to the correct customer accounts.
- Manage unapplied cash and investigate unidentified payments.
- Address partial payments or short payments with the customer.

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Aging Report Review:

- Generate AR aging reports (weekly/monthly).
- Review overdue invoices and identify delinquent accounts.
- Prioritize collections based on aging categories (30, 60, 90+ days).

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Collections Management:

- Send reminder notices to customers nearing payment due dates.
- Follow up with phone calls, emails, and letters for overdue payments.
- Offer payment plans or negotiation if needed.
- Escalate non-responsive customers to management for further action (legal, write-off).

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Credit Control & Risk Management:

- Reassess customer credit limits regularly based on payment history.
- Place credit holds on accounts with excessive overdue balances.
- Review potential customers for credit risk before approving new orders.

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Dispute Resolution:

- Identify reasons for payment disputes (pricing errors, service issues).
- Investigate disputes promptly and work with sales or customer service to resolve.
- Issue credit notes or adjustments if necessary.
- Track disputes and their resolution status in the AR system.

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Reporting & Reconciliation:

- Prepare AR aging reports for management.
- Reconcile AR ledger with the general ledger.
- Report cash flow forecasts based on receivables.
- Identify patterns or trends in overdue accounts and report to management.

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Month-End Close:

- Ensure all sales and payment transactions are posted.
- Prepare adjusting entries for any accruals or provisions (bad debt).
- Reconcile AR subledger to the general ledger.
- Generate and review final AR aging reports.

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Bad Debt Management:

- Identify uncollectible receivables and classify them as bad debts.
- Write off confirmed bad debts in the accounting system.
- Adjust AR and profit & loss accounts accordingly.

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Key Metrics to Track:

1. Days Sales Outstanding (DSO).
2. Collection Effectiveness Index (CEI).
3. Bad Debt Ratio.
4. Percentage of Invoices Past Due.

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1. Days Sales Outstanding (DSO):

Definition: DSO measures the average number of days it takes a company to collect payment after a sale.

Formula: $DSO = (\text{Accounts Receivable} / \text{Total Credit Sales}) \times \text{Number of Days}$

Importance: Lower DSO indicates quicker collections, improving cash flow. A higher DSO may signal collection issues

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2. Collection Effectiveness Index (CEI):

Definition: CEI measures how effective a company is in collecting receivables within a given period.

Formula: $CEI = \frac{\text{The amount collected}}{\text{The amount available to be collected}} \times 100$

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- The amt to be collected: $\text{Beginning AR} + \text{Credit Sales} - \text{Ending AR}$
- The amt available to be collected: $\text{Beginning AR} + \text{Credit Sales} - \text{Ending current AR}$

Importance: A higher CEI (close to 100%) indicates better collection performance.

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3. Bad Debt Ratio:

Definition: This ratio indicates the percentage of credit sales that become uncollectible (bad debt).

Formula:

$$\text{Bad Debt Ratio} = \frac{\text{Bad Debt Expense}}{\text{Total Credit Sales}} \times 100$$

Importance: A lower ratio shows better credit management and fewer losses due to unpaid invoices.

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4. Percentage of Invoices

Past Due:

Definition: This measures the proportion of total invoices that are overdue.

Formula: Percentage of Invoices

Past Due = (Overdue Invoices/Total Invoices) × 100

Importance: A lower percentage means better collections and fewer payment delays.